KB Financial Group (105560 KS)

Conservative provisioning, and ample shareholder return capacity

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BUY (M)

Target price	W235,000 (M)
Previous target price	W235,000
Current price (Oct 29)	W156,800
Upside potential	50%

Market cap (Wbn)	55,615
Shares outstanding	351,106,111
Avg daily T/O (2M, Wbn)	164
Avg daily volume (2M, shrs)	976,554
52-week high/low (won)	186,200 / 115,800
Foreign ownership (%)	78.24%
Dividend yield (%)	7.70%
Major shareholders	NPS

Stock performance

(%)	1M	3M	12M
Absolute	(9.6)	(2.1)	35.2
Relative	4.6	(6.6)	(7.1)
Abs (US$)	(8.3)	6.0	44.8

3Q26 net profit beats consensus

KB Financial Group posted 3Q26 net profit attributable to controlling interest of W1.91tn, beating consensus of W1.83tn by 4.0%. However, this beat was driven by a W231bn decrease in corporate taxes due to the recognition of deferred tax assets following the transfer of bank and card subsidiary shares related to the establishment of an Indonesian intermediate holding company. Excluding this, profit came to around W1.7tn, slightly below consensus. However, given conservative provisioning, earnings are considered to have met expectations.

Group interest income grew 4.5% when excluding W213.8bn in consolidated fund non-controlling interest expenses in 2Q26 attributable to a 1.5% QoQ increase in bank won-denominated loans and a 2bp QoQ decline in bank NIM. Non-interest income decreased QoQ on lower capital market-related fee income and reduced bond valuation gains/losses. Credit loss provisions rose 8.4% QoQ as provisions were conservatively set aside preemptively considering borrower risks amid rising interest rates.

CET-1 ratio at 13.80%

CET-1 ratio came to 13.80%. Given the company's CET1 sensitivity of +2bp for every W10 decline in the USD/KRW rate, 3Q26 CET-1 ratio was lower than expected due to a decrease in other comprehensive income (OCI). KB Financial Group uses a 4Q26 CET-1 ratio of 13.0% or higher as the baseline for next year's annual dividend and share buyback funding pool. We estimate contributions to 4Q26's CET-1 ratio at +29bp from net profit, +12bp from RWA, -16bp from dividends, and -3bp from OCI changes, resulting in a CET-1 ratio of 13.84%. The 2026 total shareholder return ratio is estimated at 54.0%, implying an end-2026 total shareholder return yield of 6.8% (dividends 3.3%, share buybacks 3.5%).

Maintain BUY and target price of W235,000; sector top-pick

We maintain BUY and our target price of W235,000. Excluding one-off factors and given conservative provisioning, we believe recurring earnings are in line with consensus, and the CET-1 ratio is well managed at 13.80%. Therefore, we believe the company has ample room for shareholder returns.

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Net op revenue	4,637	6.5	-9.5	4,859	-4.6
SG&A expense	1,706	3.2	-9.7	1,778	-4.0
Provisions	563	54.5	8.4	537	5.0
OP	2,367	1.4	-12.7	2,545	-7.0
Consolidated NP	1,913	15.6	-4.8	1,852	3.3
NP, CI	1,908	13.1	-4.3	1,835	4.0

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Net op revenue	17,028	17,945	19,093	19,668
OP	8,045	8,518	9,324	9,773
NP, CI	5,078	5,833	6,870	6,881
P/E (x)	6.1	7.7	7.9	7.7
P/B (x)	0.59	0.82	0.95	0.88
ROE (%)	8.9	10.0	11.3	11.0
ROA (%)	0.69	0.75	0.8	0.8

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

3Q26 earnings (consolidated)

(Wbn, %)	3Q26P	Consensus	vs consensus	YoY	QoQ	3Q25	2Q26
Net op revenue	4,637	4,859	-4.6	6.5	-9.5	4,352	5,122
OP	2,367	2,545	-7.0	1.4	-12.7	2,335	2,713
Net profit, CI	1,907.5	1,834.8	4.0	13.1	-4.3	1,686	1,992

Note: CI = controlling interest
Source: company data, Yuanta Securities

Earnings forecast (consolidated)

(Wbn, %, %p)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E
Net op revenue	4,554	4,538	4,352	4,501	4,986	5,122	4,637	4,349	17,945	19,093
Net interest income	3,262	3,107	3,336	3,368	3,335	3,144	3,507	3,459	13,073	13,444
Non-interest income	1,292	1,431	1,016	1,133	1,651	1,978	1,130	890	4,872	5,649
Commission income	934	1,032	986	1,146	1,359	1,602	1,127	1,190	4,098	5,278
Other non-interest income	358	399	29	-13	292	376	3	-300	774	371
SG&A expense	1,606	1,750	1,652	2,057	1,765	1,890	1,706	2,198	7,065	7,558
Pre-provisioning OP	2,949	2,788	2,700	2,444	3,221	3,232	2,931	2,151	10,881	11,535
Provisioning	656	655	365	688	493	520	563	634	2,363	2,211
OP	2,293	2,133	2,335	1,757	2,728	2,713	2,367	1,517	8,518	9,324
Non-operating profit	14	210	-74	-485	-96	20	-18	0	-335	-94
Pre-tax profit	2,307	2,343	2,262	1,272	2,631	2,733	2,349	1,517	8,183	9,230
Consolidated net profit	1,699	1,748	1,655	739	1,917	2,011	1,913	1,100	5,841	6,940
Consol. net profit (CI)	1,697	1,738	1,686	712	1,892	1,992	1,907.5	1,078	5,833	6,870
Won-denominated loan growth (bank)	0.9	1.4	0.9	0.5	0.4	1.6	1.5	0.9	3.8	4.5
Portion of non-interest income	28.4	31.5	23.3	25.2	33.1	38.6	24.4	20.5	27.1	29.6
NIM (bank)	1.76	1.73	1.74	1.75	1.77	1.74	1.72	1.73	1.75	1.74
CIR	35.3	38.6	38.0	45.7	35.4	36.9	36.8	50.5	39.4	39.6
CCR	0.56	0.55	0.30	0.57	0.40	0.42	0.45	0.50	0.49	0.44
NPL ratio	0.76	0.72	0.70	0.63	0.73	0.67	0.69	0.68	0.6	0.7
NPL coverage ratio	133.1	138.5	133.4	148.3	127.1	135.4	129.3	132.8	148.3	132.8
CET-1	13.70	13.77	13.83	13.82	13.64	13.75	13.80	13.84	13.82	13.84
ROE	11.7	11.9	11.4	4.8	12.8	13.3	12.5	7.0	10.0	11.3
ROA	0.9	0.9	0.9	0.4	0.9	0.9	0.9	0.5	0.7	0.8
Equity	58,235	59,069	59,582	59,048	59,349	60,891	60,866	62,057	59,048	62,057
Asset	770,309	780,623	796,063	797,923	829,741	866,889	851,470	862,632	797,923	862,632

Note: CI = controlling interest,
Source: company data, Yuanta Securities

Valuation table

	Formula	Unit	Old (Jul 24, 2026)	New (Oct 30, 2026)	Note
Cost of equity (COE)	(C=a+(b*c)+d)	%	9.7	9.7	
Risk-free rate	(a)	%	3.3	3.4	1-year monetary stabilization bond's recent 3-mo avg yield
Risk premium	(b)	%	5.1	5.1	
Beta	(c)		0.9	0.9	104-week adjusted beta
Ri	(d)	%	2.0	2.0	Reflected additionally given past COE level
Average ROE	(B)	%	10.8	10.9	2026-2028 average ROE
Permanent growth	(D)	%	4.6	4.5	Min (ROE x retention ratio, 30-yr KTB's recent 3-mo avg yield)
Target P/B	(A=(B-D)/(C-D))	x	1.22	1.22	
12mo-fwd BPS	(E)	won	191,748	192,818	
Target price	(A*E)	won	**235,000**	**235,000**	
Current price (Oct 29)		won		156,800	
Upside potential		%		49.9	

Source: company data, Yuanta Securities

Earnings forecast revision

(Wbn, %)	Old		New		Difference	
	2026E	2027E	2026E	2027E	2026E	2027E
Net op revenue	19,263	19,636	19,093	19,668	-0.9	0.2
OP	9,526	9,708	9,324	9,773	-2.1	0.7
Net profit, CI	6,781	6,835	6,870	6,881	1.3	0.7

Note: CI = controlling interest,
Source: company data, Yuanta Securities

KB Financial Group (105560 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Net interest income	12,827	13,073	13,444	14,084	14,361
Interest income	30,491	29,156	30,201	33,236	33,914
Interest expense	17,665	16,083	16,757	19,152	19,553
Non-interest income	4,202	4,872	5,649	5,584	5,860
Net commission	3,850	4,098	5,278	5,216	5,476
Other non-interest	352	774	371	368	383
Net operating revenue	17,028	17,945	19,093	19,668	20,221
Selling and admin expense	6,939	7,065	7,558	7,826	8,040
Pre-provision operating profit	10,090	10,881	11,535	11,842	12,181
Provisions	2,044	2,363	2,211	2,070	2,051
Operating profit	8,045	8,518	9,324	9,773	10,130
Non-operating profit	-1,060	-335	-94	-160	-160
Pre-tax profit	6,985	8,183	9,230	9,613	9,970
Income tax	1,957	2,342	2,290	2,644	2,742
Tax rate	28	29	25	28	28
Consolidated net profit	5,029	5,841	6,940	6,969	7,228
Controlling interest	5,078	5,833	6,870	6,881	7,140
Non-controlling interest	-50	8	70	88	88

Statement of financial position (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Cash & cash equivalents	29,869	34,777	47,763	49,961	52,171
Securities	222,190	233,027	244,259	255,497	266,801
Loans	472,072	491,978	514,607	537,826	562,759
Tangible and intangible assets	11,253	10,237	10,523	10,568	10,571
Other	22,462	27,904	45,480	48,469	49,940
Assets	757,846	797,923	862,632	902,321	942,243
Deposits	435,688	462,397	502,212	524,713	552,443
Borrowings	144,249	150,778	154,371	162,186	164,190
Other	118,094	123,918	142,202	148,618	155,508
Liabilities	698,030	737,093	798,785	835,517	872,140
Equity, controlling interest	57,889	59,048	62,057	64,975	68,233
Capital stock	2,091	2,091	2,091	2,091	2,091
Hybrid bond	5,083	4,359	4,606	4,606	4,606
Capital surplus	16,647	16,634	9,104	9,104	9,104
Retained earnings	34,808	38,334	48,289	51,362	54,630
Other comprehensive income	-739	-2,369	-2,033	-2,188	-2,198
Equity, non-controlling interest	1,926	1,782	1,790	1,830	1,870
Equities	59,815	60,830	63,846	66,804	70,103

Growth (%)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
NIM (bank)	1.79	1.75	1.74	1.71	1.67
ROE	8.9	10.0	11.3	11.0	10.9
ROA	0.7	0.7	0.8	0.8	0.8
CIR	40.7	39.4	39.6	39.8	39.8
Asset growth	5.9	5.3	8.1	4.6	4.4
Loan growth	6.1	4.2	4.6	4.5	4.6
Net profit growth	10.5	14.9	17.8	0.2	3.8

Valuations (won, x, %)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS	13,593	16,267	19,799	20,421	21,348
BPS	141,344	152,512	165,577	179,150	190,231
DPS	3,174	4,367	5,154	5,518	5,740
P/E	6.1	7.7	7.9	7.7	7.3
P/B	0.6	0.8	0.9	0.9	0.8
Dividend payout ratio	23.6	27.1	26.3	27.3	26.9
Dividend yield	3.8	3.5	3.3	3.5	3.7

Adequacy indicators (%)

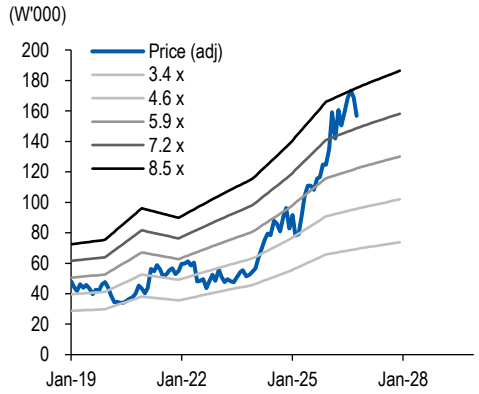
FY ends Dec	2024A	2025A	2026E	2027E	2028E
BIS capital adequacy ratio	16.4	16.2	15.9	15.8	15.7
Tier 1 capital ratio	15.2	15.2	15.1	15.0	15.0
CET1 capital ratio	13.5	13.8	13.8	13.8	13.8

Asset quality indicators (x, %)

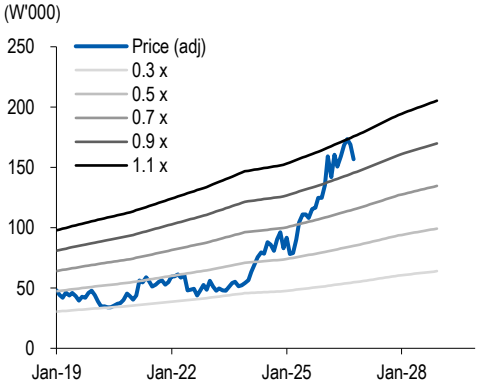
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Substandard and below ratio	0.6	0.6	0.7	0.6	0.6
NPL coverage ratio	150.9	148.3	132.8	139.1	146.1
CCR	0.4	0.5	0.44	0.39	0.37

Note: CI = controlling interest
EPS, BPS, P/E and P/B are based on controlling interest.
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price.
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior.
Source: Company data, Yuanta Securities

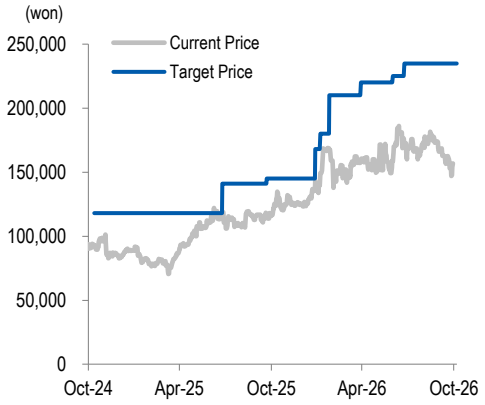
P/E band chart



P/B band chart



KB Financial Group (105560 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/30	BUY	235,000	1 yr		
2026/07/24	BUY	235,000	1 yr		
2026/07/01	BUY	225,000	1 yr	-22.10	-17.24
2026/04/28	BUY	220,000	1 yr	-28.58	-21.82
2026/02/24	BUY	210,000	1 yr	-27.26	-20.14
2026/02/06	BUY	180,000	1 yr	-8.90	-6.22
2026/01/27	BUY	168,000	1 yr	-17.94	-15.42
2025/10/22	BUY	145,000	1 yr	-13.40	-5.66
2025/07/25	BUY	141,000	1 yr	-20.01	-15.18
2024/03/11	BUY	85,000	1 yr	-16.80	-7.53

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 30, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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